STOP THE PELL RUNNERS.

TEAM FRAUD-BUSTERS

EXECUTIVE SUMMARY

SITUATION

1) The Federal Pell Grants program contains financial aid fraud caused by ghost students, aka "Pell Runners."

2) California community colleges are suffering greatly from this fraud.

QUESTION

"HOW MIGHT WE REVISE THE FEDERAL PELL GRANTS PROGRAM ISSUING PROCESS FOR CALIFORNIA COMMUNITY COLLEGE STUDENTS TO BETTER DETECT AND PREVENT FRAUD IN THE STUDENT FINANCIAL AID PROGRAMS?"

SOLUTION

Utilizing Blockchain Technology to Ensure the Traceability and Transparency of Funds.

Creating a Smart Contract Wallet for Each Recipient of the Financial Aid.

Using Trained AI to Detect High-Risk Activities and Block the Process.

IMPACT*

47%

of Fraud Prevented

376

Million of USD Saved

2 Million

People Benefited

*DATA IS GIVEN BASED ON ESTIMATION.

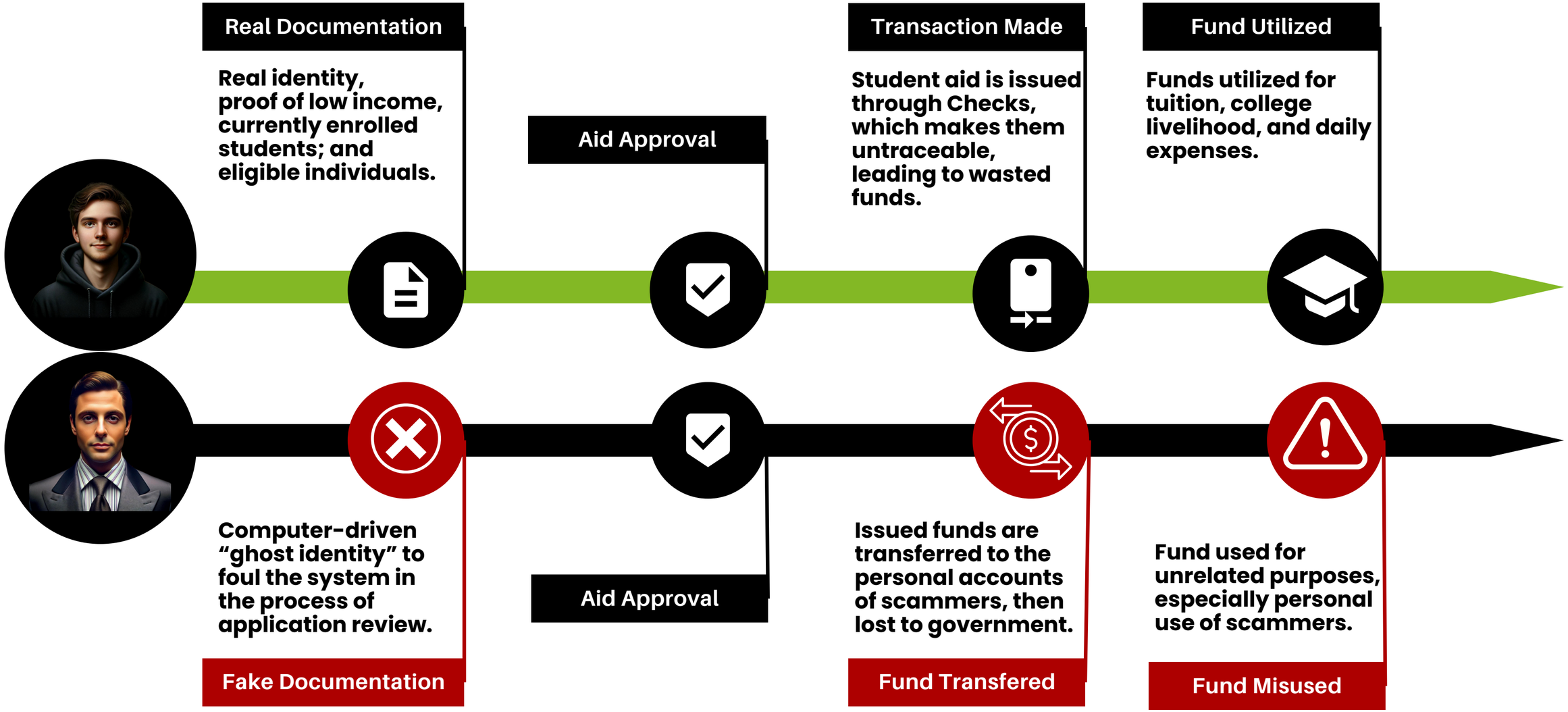
IDENTIFYING THIS TRI-FOLD PROBLEM.

Government:
Waste financial resources,
Falsify data,
The current solution is ineffective.

School:
Waste faculty resources by opening extra class sessions.

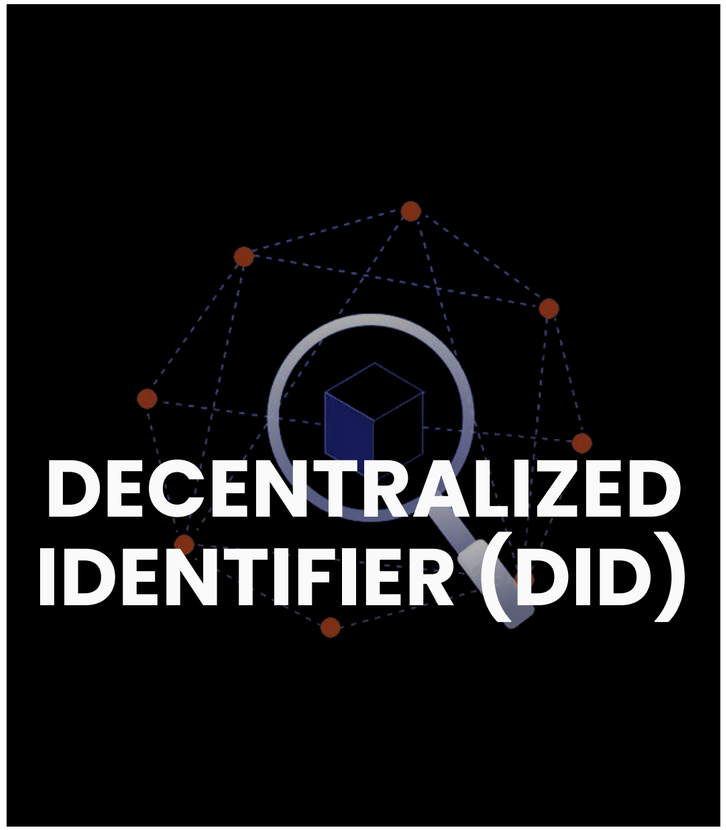
Student:
Students who need financial aid do not get enough of it.

THE METHOD OF ISSUING STUDENT AID IS PROBLEMATIC.



SOLUTION AND EFFECTS.

SCHOLAR OVERSIGHT PROJECT

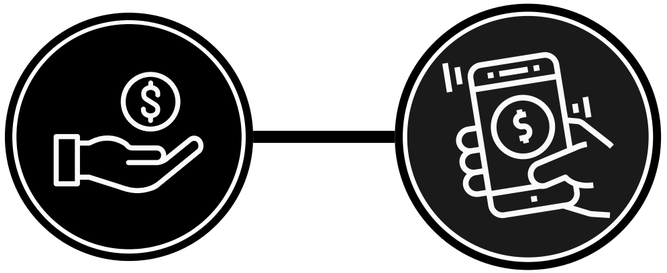


TRANSPARENCY
TRACEABILITY

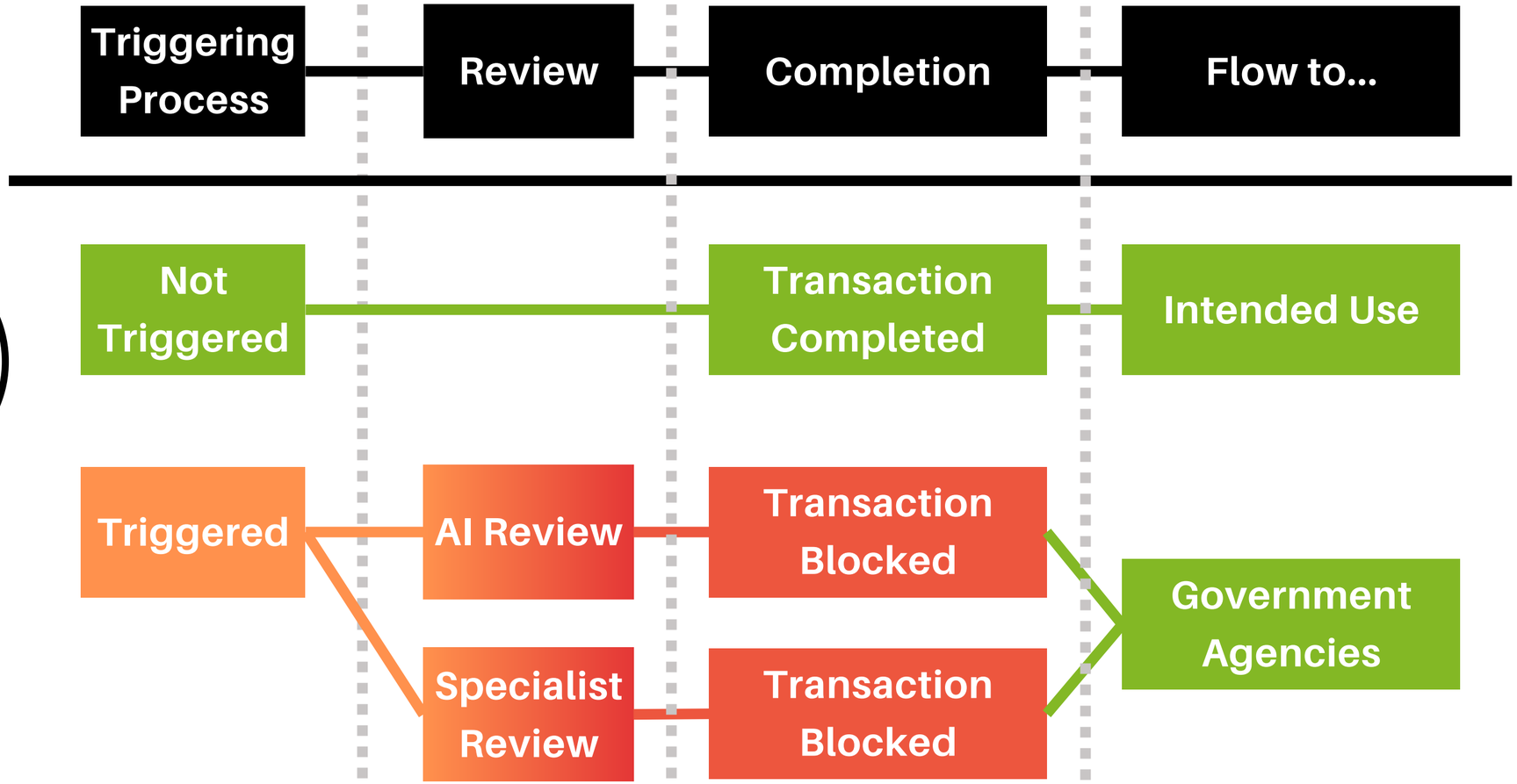
DETERMINING
RISK

BLOCKING
RECOLLECTING

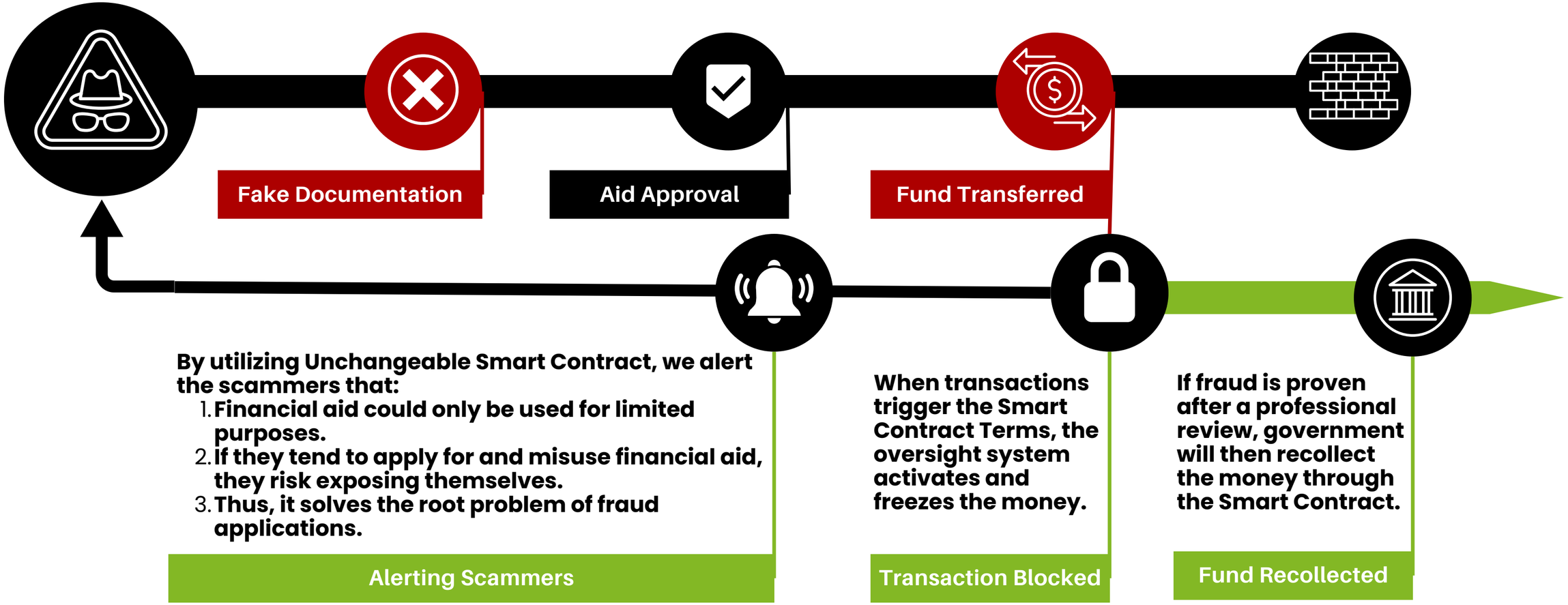
SCHOLAR OVERSIGHT PROJECT



A fund with a Smart Contract is sent to the recipient...



AFTER SCHOLAR OVERSIGHT...



EVALUATION AND FEASIBILITY.

WHY IS BLOCKCHAIN FEASIBLE?

CASES:

1. **WALMART SUPPLY CHAIN**
2. **IBM DIAMOND TRANSACTION**

CASES:

1. **NASHVILLE, TENNESSEE**
2. **SAN FRANCISCO, CALIFORNIA**

FIVE DIFFERENT BLOCKCHAIN TOOLS

***ALL SOURCES PROVIDED IN THE SOURCES SLIDE.**

THE IMPLEMENTATION OF A PILOT PROGRAM IN CALIFORNIA

WHY CALIFORNIA?

- There exist many similar cases as “Pell Runners.”
- High-tech solutions are widely accepted here.
- About 25% of college applicants are fraudulent.
- The fraud is estimated to be about $800 million per year.

CONSULTED SOURCES

- https://calmatters.org/education/higher-education/2024/04/financial-aid-fraud/
- https://educationdata.org/pell-grant-statistics
- https://studentaid.gov/understand-aid/types/grants/pell
- https://leb.fbi.gov/articles/featured-articles/pell-grant-fraud-awareness-white-collar-crime-challenges
- https://www.usnews.com/education/best-colleges/paying-for-college/articles/everything-you-need-to-know-about-the-pell-grant
- https://www2.ed.gov/about/overview/budget/budget23/justifications/o-sfa.pdf
- https://builtin.com/blockchain/blockchain-in-government
- https://www.govinfo.gov/content/pkg/BUDGET-2021-BUD/pdf/BUDGET-2021-BUD-4.pdf
- https://www2.deloitte.com/us/en/pages/about-deloitte/solutions/blockchain-digital-assets-tools.html
- https://www2.ed.gov/about/offices/list/ocfo/fipao/fy23-ed-estimation-methodologies.docx
- https://medium.com/coinmonks/how-blockchain-technology-enables-fraud-detection-and-prevention-5433c2a29486

Q&A.

THANKS.